

# Organic growth

3.3.2.2 Business growth · Mr. Akram — Academy

**Organic (internal) growth** is growth a business achieves by increasing output and sales using its **own resources** — not through mergers or takeovers.

## Methods of organic growth

- **Increasing output** — selling more to existing and new customers.
- **Opening new locations** — more stores, branches or factories (e.g. Five Guys).
- **Expanding the product range** — new products/features for existing customers.
- **Entering new markets** — new regions or countries through the firm's own expansion.
- **Franchising** — growing the brand through franchisees.

## Examples

- **Spotify** — grew to 299m monthly users and 138m premium subscribers (~30% share) by developing its own features, not acquisitions.
- **Mumtaz Food Group** — a family firm grown from a 1979 takeaway using only internal finance; new ranges (Halal baby food) and a second factory for 15–20% ready-meal growth.
- **Five Guys** — expands by opening new outlets with a tight, consistent model.

## Advantages & disadvantages

| Advantages                                                                                                                                                                          | Disadvantages                                                                                                                                                                       |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lower risk; easier to manage and control; owners keep control (no outside investors); no culture clash; funded from own resources; steady, sustainable; protects brand and quality. | Slower than inorganic growth; limited by the firm's resources/retained profit; can hit market saturation; rivals growing by acquisition may seize new markets or technology faster. |

## Apply it

- Mumtaz (12): assess whether expanding by organic growth was the right decision.
- Spotify (20): evaluate whether Spotify should keep growing organically rather than through mergers and takeovers.